

CMBS Distress Rate Hits 11.86%: The Resolution Machine Is Not Keeping Pace

The 170-basis-point gap between special servicing and delinquency is the real signal for 2026-2027 maturities.

The most important number in the May CMBS distress data is not the 11.86 percent headline. It is the 170-basis-point gap between the special servicing rate and the delinquency rate. That spread means a meaningful share of distressed balance is being worked out before it becomes payment-delinquent. It also means the resolution machine is not keeping pace with new transfers.

Loans are entering special servicing faster than they are exiting through modification, sale, or foreclosure. The system is accumulating cases, not clearing them. CRED iQ reported Tuesday that the overall CMBS distress rate rose 78 basis points month-over-month to 11.86 percent in May, erasing April's brief improvement. The special servicing rate hit 11.25 percent, up 64 basis points. The delinquency rate reached 9.53 percent, up 58 basis points.

All three measures moved higher, and the trajectory since mid-2022 is unmistakable: distress has more than doubled from roughly 5 percent. The reversal matters because April had offered a flicker of stabilization. May closed that window. The market is now back near the cyclical highs of the trailing 12 months, and the trend line is still pointing up. Office remains the epicenter at a 17.11 percent distress rate.

Mixed-use follows at 16.12 percent. Lodging sits above the overall average at 12.27 percent. Multifamily distress reached 10.95 percent, reflecting the continued pressure of elevated rates on floating-rate and bridge financing. At the other end, self-storage at 0.15 percent, industrial at 1.04 percent, and manufactured housing at 1.19 percent remain near pristine. The bifurcation is not new, but it is widening. Capital is not avoiding all real estate.

It is avoiding assets with refinancing exposure, floating-rate leverage, or demand uncertainty. The assets with stable, granular cash flows and low leverage are trading and financing normally. Everything else is in the special servicing queue. The 170-basis-point gap between special servicing and delinquency is the leading indicator worth watching. It signals that servicers are actively managing a pipeline of loans that have not yet missed a payment but are already in distress.

For investors, that pipeline is a forward calendar of resolution events. For owners with maturities approaching in 2026 and 2027, it is a warning that the system is already congested. Who benefits from this environment? Special servicers, obviously, as fee income rises with case volume. Distressed debt buyers with capital and patience can pick through the pipeline for assets where the basis has reset far enough.

Lenders with strong balance sheets can extend and pretend selectively, buying time for the assets that have a credible path to stabilization. Who is exposed? Owners with floating-rate debt, low occupancy, or maturities in the next 18 months. Lenders with concentrated exposure to office or transitional multifamily. Investors who assumed that distress would peak in 2025 and begin to clear in 2026. The data says the clearing has not started.

The market should watch two things in the coming months. First, whether the special servicing rate continues to outpace the delinquency rate, which would signal that the resolution bottleneck is tightening. Second, whether the office distress rate breaks above 20 percent, which would force a broader repricing of the sector's terminal value. The headline is 11.86 percent.

The story is that the system is still accumulating distress faster than it is resolving it. Until that equation flips, the pressure on maturities, valuations, and sponsor equity will continue to build.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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